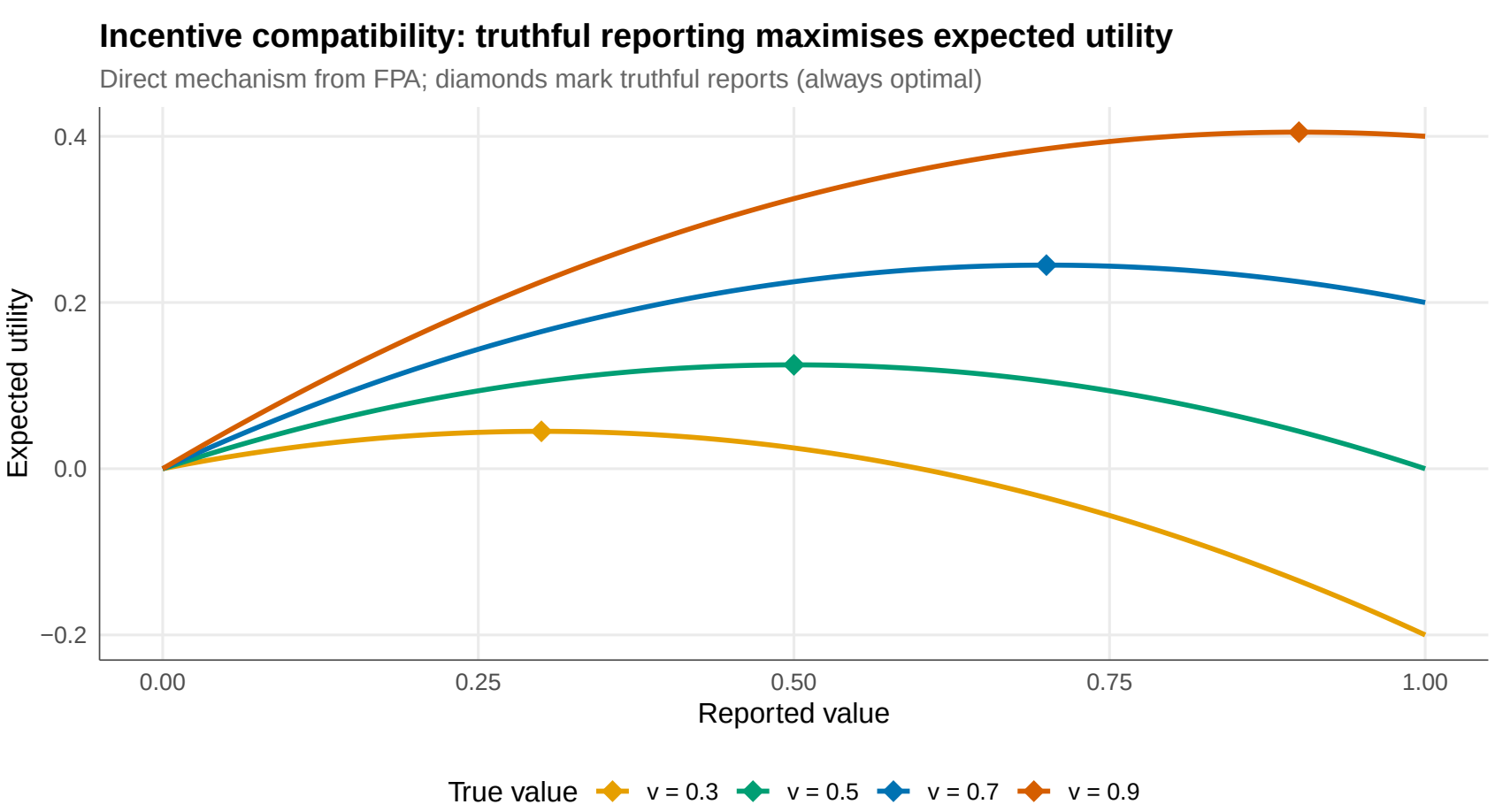
Incentive compatibility: truthful reporting maximises expected utility
Direct mechanism from FPA; diamonds mark truthful reports (always optimal)
Expected utility
0.4
0.2
0.0
−0.2
0.00
0.25
0.50
0.75
1.00
Reported value
True value
v = 0.3
v = 0.5
v = 0.7
v = 0.9